Submission MICRO1-PS1-SUB01

Question MICRO1-PS1-Q01
scratch: show step
1. 33–5P=3+P ⇒ P*=(33-3)/(5+1)=5.00
2. Q*=33–5(5.00)=8.00
3. substitution gives Qd=Qs
=> FINAL: P*=5.00, Q*=8.00 (check units/interpretation)

Question MICRO1-PS1-Q02
scratch: show step
1. %ΔQ=-2/19.0
2. %ΔP=0.0952
3. E=-1.11; |E| > 1 (elastic)
=> FINAL: elasticity=-1.11; elastic (check units/interpretation)

Question MICRO1-PS1-Q03
scratch: show step
1. Shift the wedge between buyer and seller prices by t.
2. Quantity falls relative to equilibrium.
3. The lost mutually beneficial trades create a positive deadweight-loss triangle.
=> FINAL: buyer price minus seller price equals tax; quantity falls; deadweight loss increases (check units/interpretation)

Question MICRO1-PS1-Q04
scratch: show step
1. SMC = PMC + marginal external cost, so SMC lies above PMC.
2. A Pigouvian tax equal to marginal external cost aligns private and social incentives.
=> FINAL: social MC above private MC; Pigouvian tax can internalize the external cost (check units/interpretation)

Question MICRO1-PS1-Q05
scratch: show step
1. At the ceiling, Qd exceeds Qs.
2. Shortage = Qd–Qs; queues or rationing allocate the scarce quantity.
=> FINAL: Qd>Qs creates a shortage; queues/rationing may allocate units (check units/interpretation)

Question MICRO1-PS1-Q06
scratch: show step
1. 35–4P=3+P ⇒ P*=(35-3)/(4+1)=6.40
2. Q*=35–4(6.40)=9.40
3. substitution gives Qd=Qs
=> FINAL: P*=6.40, Q*=9.40 (check units/interpretation)